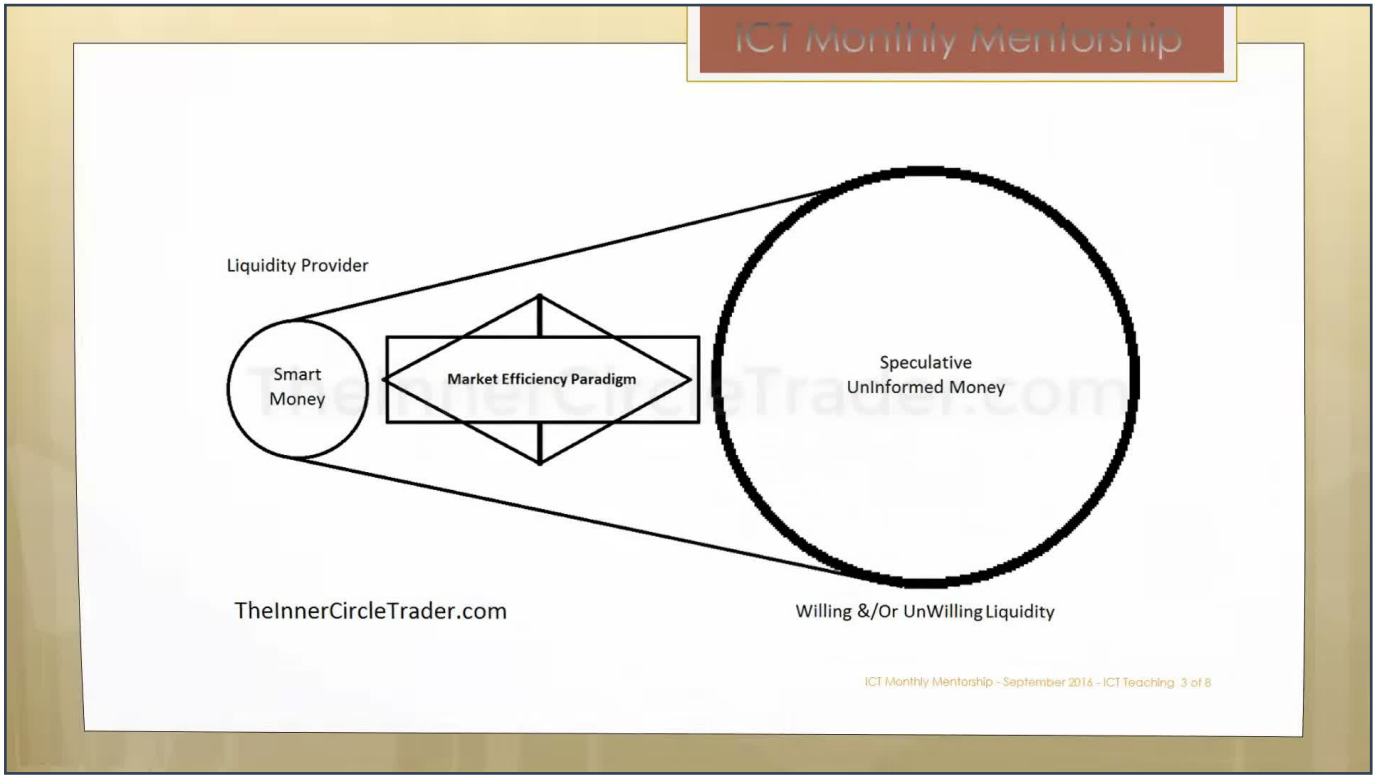
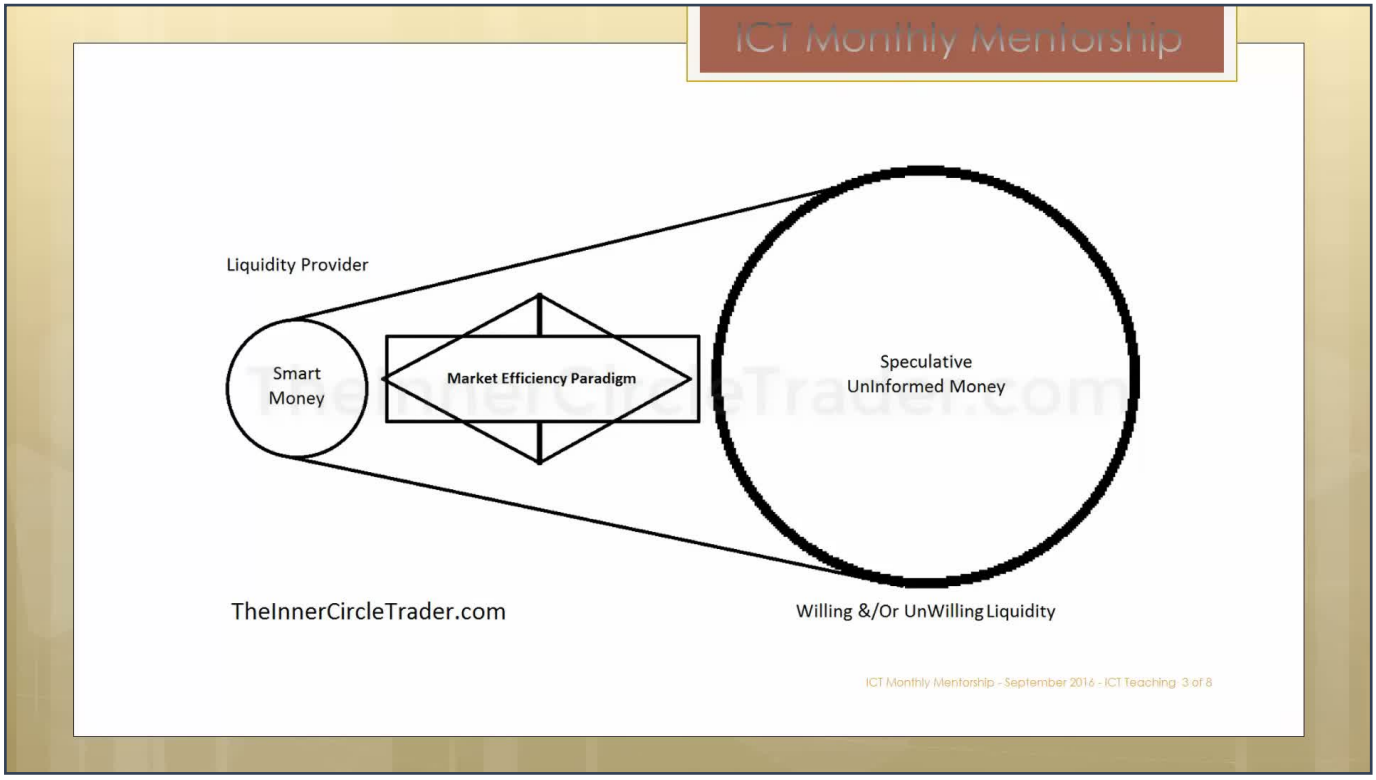
# ICT MENTORSHIP CORE CONTENT

## ICT MENTORSHIP CORE CONTENT - MONTH 1 - WHAT TO FOCUS ON RIGHT NOW




This teaching emphasizes understanding the mindset required to approach the marketplace, looking at things from a perspective reverse to normal retail teachings.

New students have an advantage because they haven't adopted bad habits or false understandings. Those with prior trading experience may find this challenging as they will need to purge existing beliefs or wrestle with new insights.




It is imperative to understand how traders are supposed to view marketplace data delivery. The psychology of 'informed money' is diametrically opposed to that of 'uninformed' or 'speculative' money (quote-unquote 'dumb money').

When analyzing price, the first step is to establish who the 'victim' is, as there is generally always a victim in every market crime.

# THE UNINFORMED MONEY'S PERSPECTIVE

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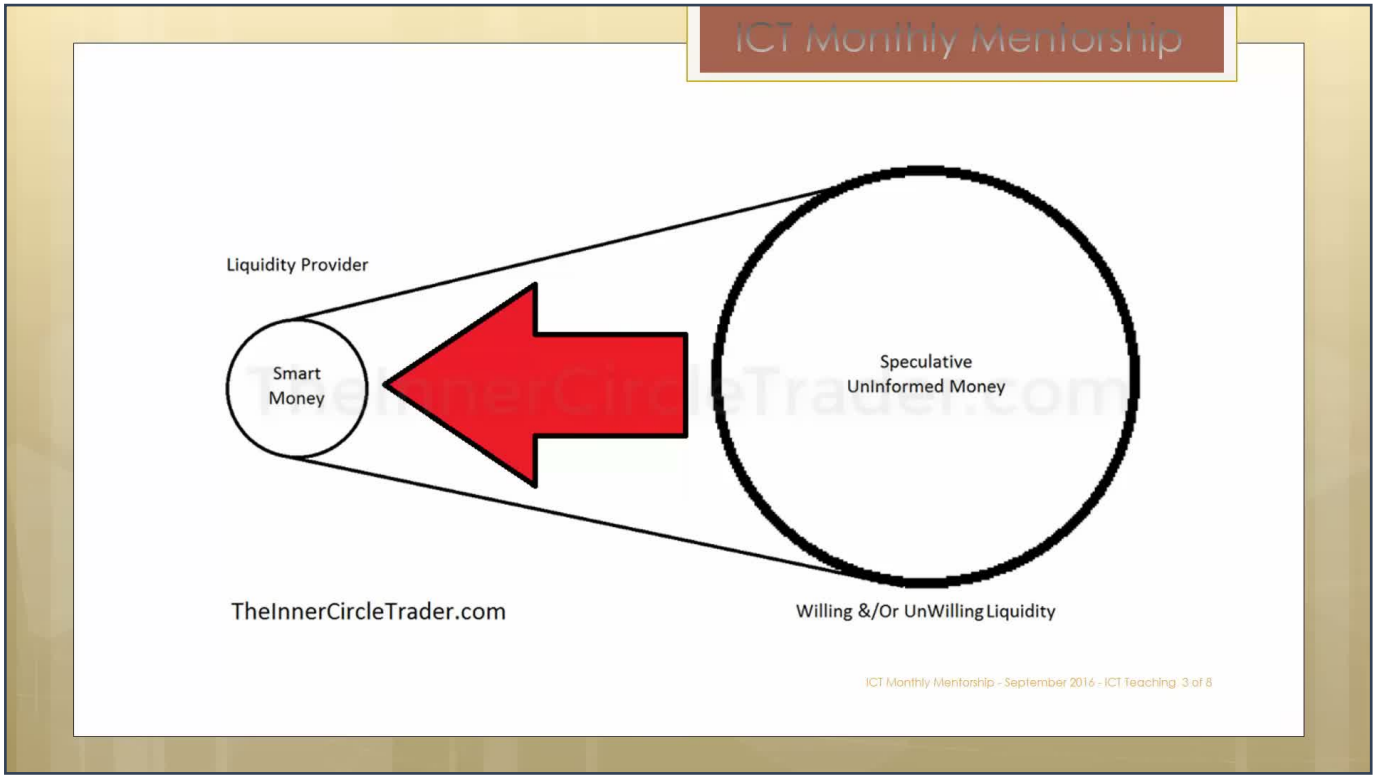
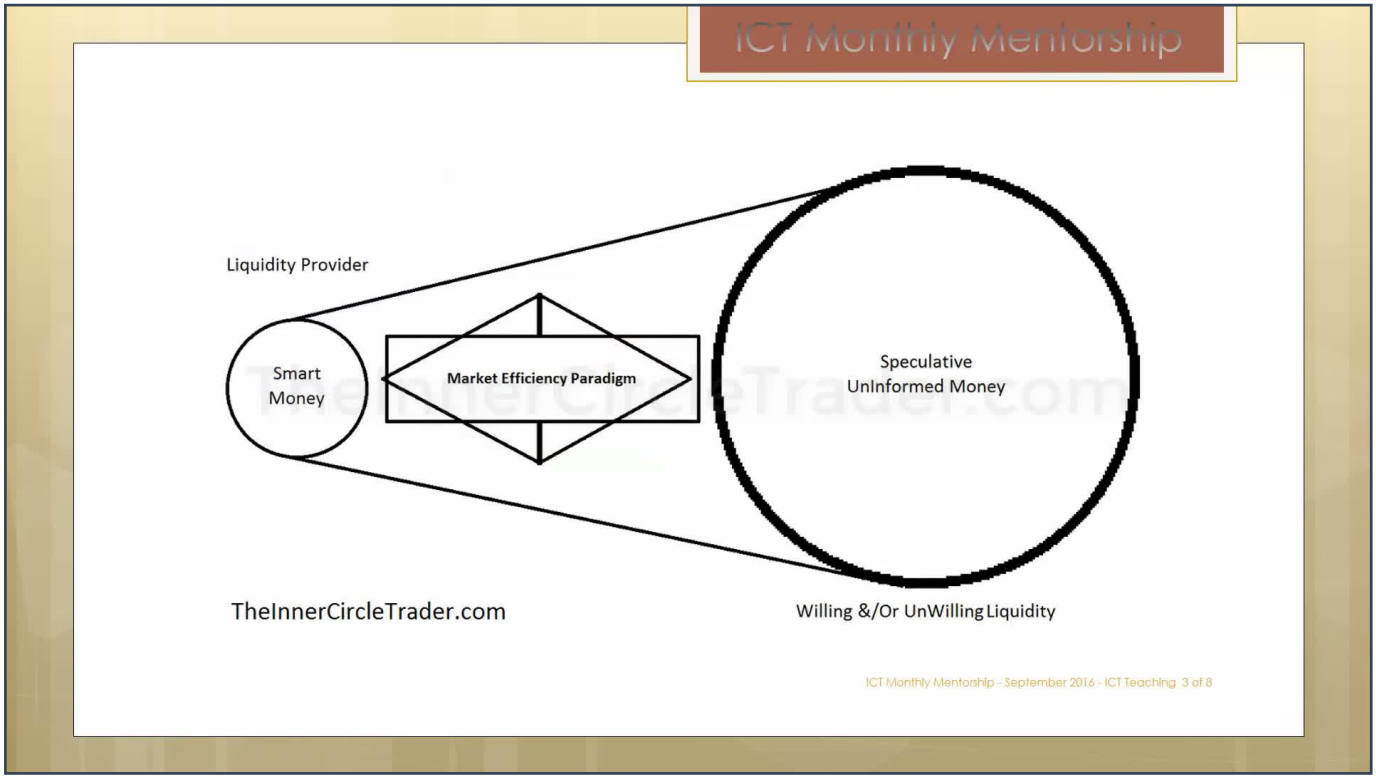



The perspective of speculative, uninformed money includes:

- A lack of acknowledgment of smart money: They do not believe there's an entity that consistently has the 'right' perspective or that the market is rigged, controlled, manipulated, or influenced over long-term price delivery.

- Belief that indicators are the answer: They believe price moves due to indicator influence (e.g., overbought or oversold conditions) which is seen as a precursor to market movements.

This 'indicator itis' mindset is detrimental, and new traders who haven't been exposed to it have an advantage. Experienced traders using indicators will struggle and are advised to remove them, as they hinder the ability to see smart money. Indicators will instead be used to understand the thinking of uninformed traders.



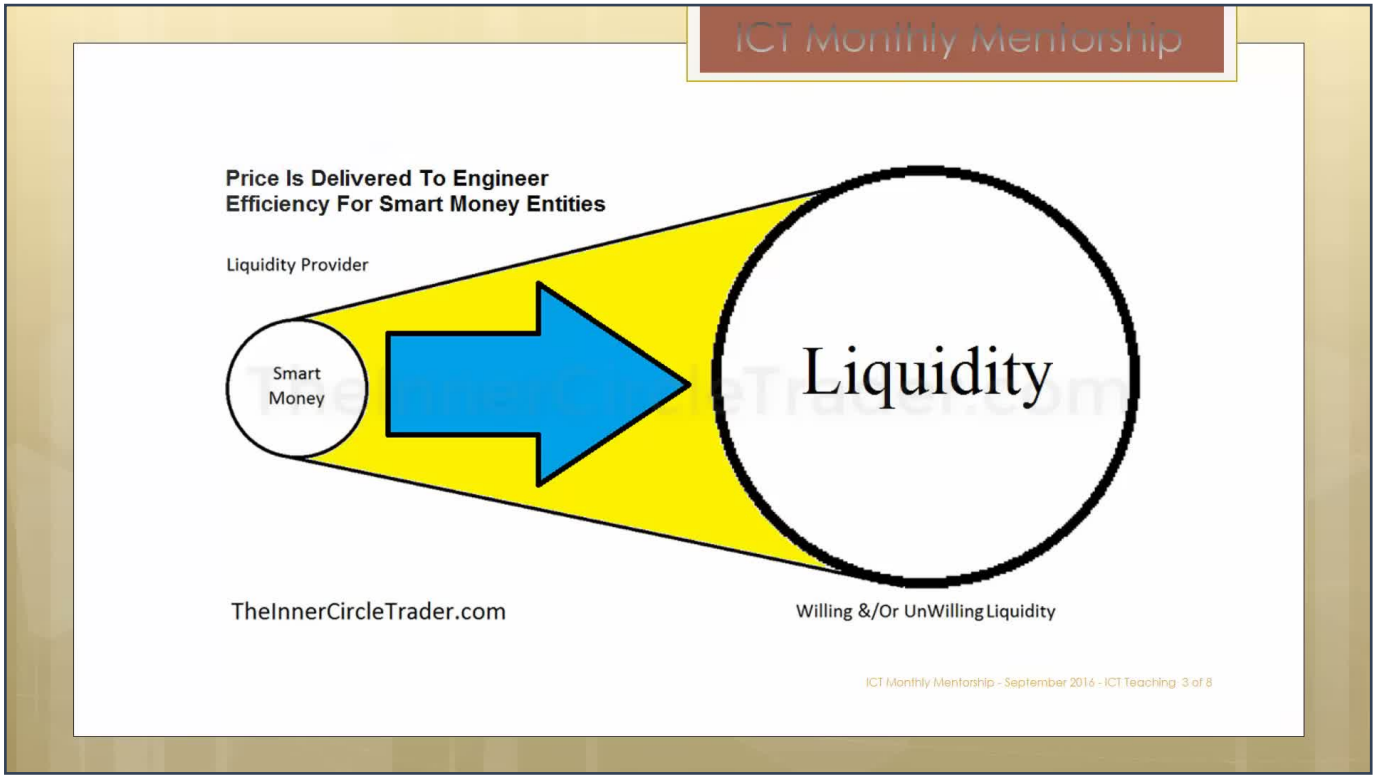

The focus of this mentorship is solely on the smart money view of the marketplace. This perspective starts with understanding:

- The continuous influx of new liquidity: A vast pool of new money enters the market daily, despite high rates of account losses (90% of traders lose money, and not all large funds are profitable).

- Liquidity providers' view: Informed traders adopt the perspective of liquidity providers or 'smart money'. They understand that uninformed money fuels the market, providing the necessary liquidity.

- Price delivery at an exchange premium: Smart money executes trades with the expectation that price will return to offset or neutralize their interests.

- Awareness of uninformed money: Unlike uninformed money, smart money knows there is a large body of uninformed money in the market.




From a smart money perspective, everyone else is liquidity. Price is delivered to engineer efficiency only for smart money entities.

To adopt a liquidity provider's perspective means seeing others as liquidity, manifested as buy stops, sell stops, and pending orders above and below recent market highs and lows.

The market efficiency paradigm arises from the two distinct perspectives:

- Smart money: Understands what uninformed money believes and controls price. Just as a store owner sets the price of their commodity, central banks set the price of their currency.

- Uninformed money: Lacks the understanding of smart money's control and influence.

Central banks are in absolute control of their currency's price and can set it at will, as demonstrated by events like the Swiss Franc de-pegging from the Euro. When both perspectives are understood intimately, the market is no longer viewed as victim vs. aggressor but in terms of efficiency, though it is slanted to benefit smart money.

This mentorship will focus on understanding four primary drivers in price delivery:

- Retracement

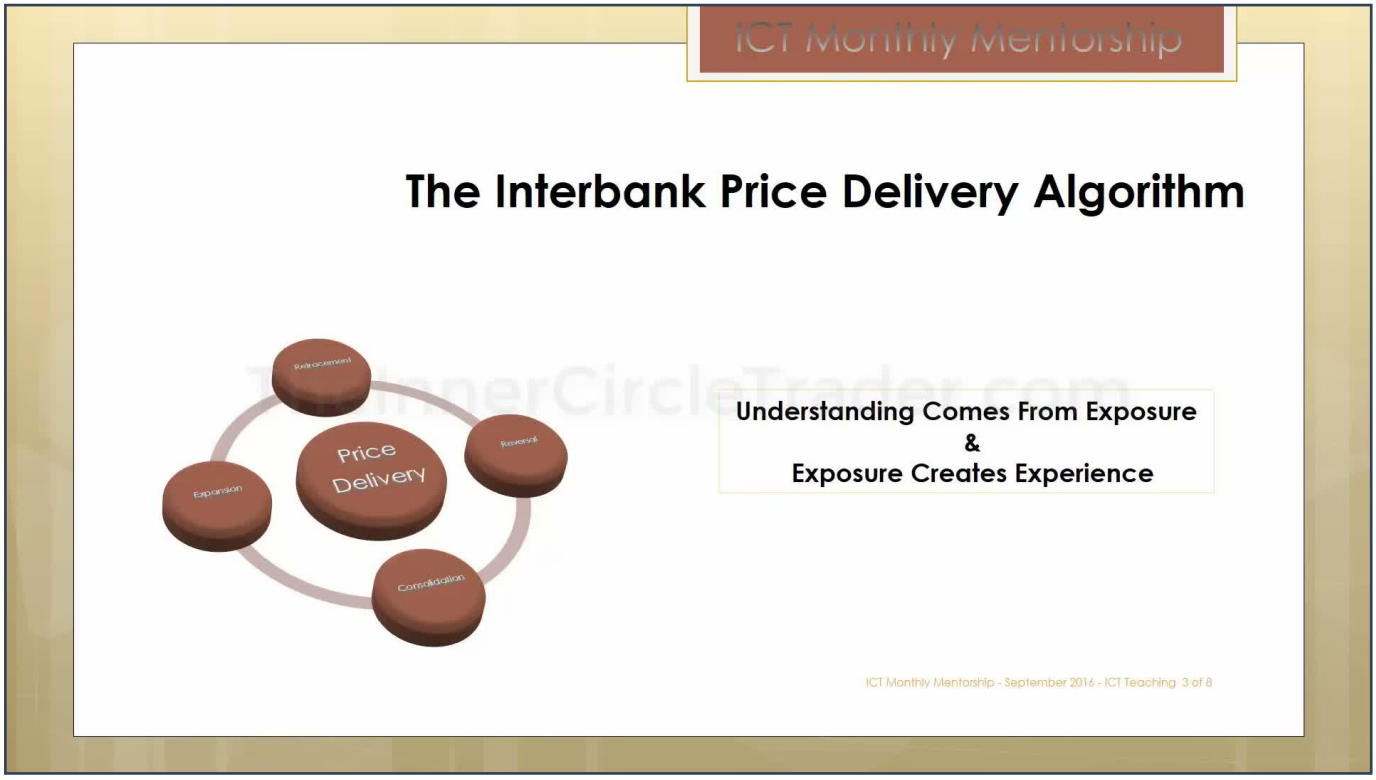
- Expansion

- Reversal

- Consolidation

All teachings serve as frameworks to understand these four general principles. A broad foundational understanding is essential before diving into specific contexts or topics. This initial month establishes a common reference point for all students.

Advanced students are advised to set aside prior knowledge and approach this with a fresh perspective, as it will fill in any previously skipped gaps. Understanding the interbank price delivery algorithm comes through exposure, which builds experience, leading to clarity on expected price behavior.




Resist the desire for immediate techniques, patterns, or intricate secrets. The framework and foundation of why market phenomena exist are crucial. Without this understanding, specific patterns or techniques will not make sense when called upon later in the mentorship.

For new students, the focus right now should be on bringing in very little in terms of previous knowledge or expectations. Essentially, put everything aside and assume no prior knowledge.

For those who have previously engaged in different trading disciplines, it's difficult to 'forget' what they already know. If past profitability came from anything other than institutional order flow, it was likely coincidence. Coincidence can last for a long time but will eventually cease.

Understanding specific actions is important as a new mentorship student. The core principle for development starts here; skipping these initial steps will stunt growth throughout the mentorship.

The first and most important task is to create a daily price action log with price charts. This practice, though potentially resisted by some, is how experience and understanding are gained. It is a fundamental practice that professionals maintain, even after decades of trading, for clarity and perspective.

This practice will be built upon every month for the entire 12-month mentorship, adding more reference points and clarifying their importance and advantages.

Specific requirements for chart views:

- Daily Chart: Show 12 months (no less than 9 months) of price action.

- Four-Hour Chart: Show 3 months of price action.

- 60-Minute (One-Hour) Chart: Show at least 3 weeks of price action.

- 15-Minute Chart: Show at least 3 to 4 days of price action.

Resist the urge to forecast price movements at this stage of development. Do not try to rush ahead; forecasting will come in due time but attempting it now will lead to frustration.

On these charts, you need to specifically note the following:

- Quick price movements: Where price has shown a quick movement (higher or lower) from a specific level, creating large candles or bars.

- Un-retested recent highs and lows: Highs or lows that have formed but price has not returned to that level in recent time. These are likely to be influential in the future.

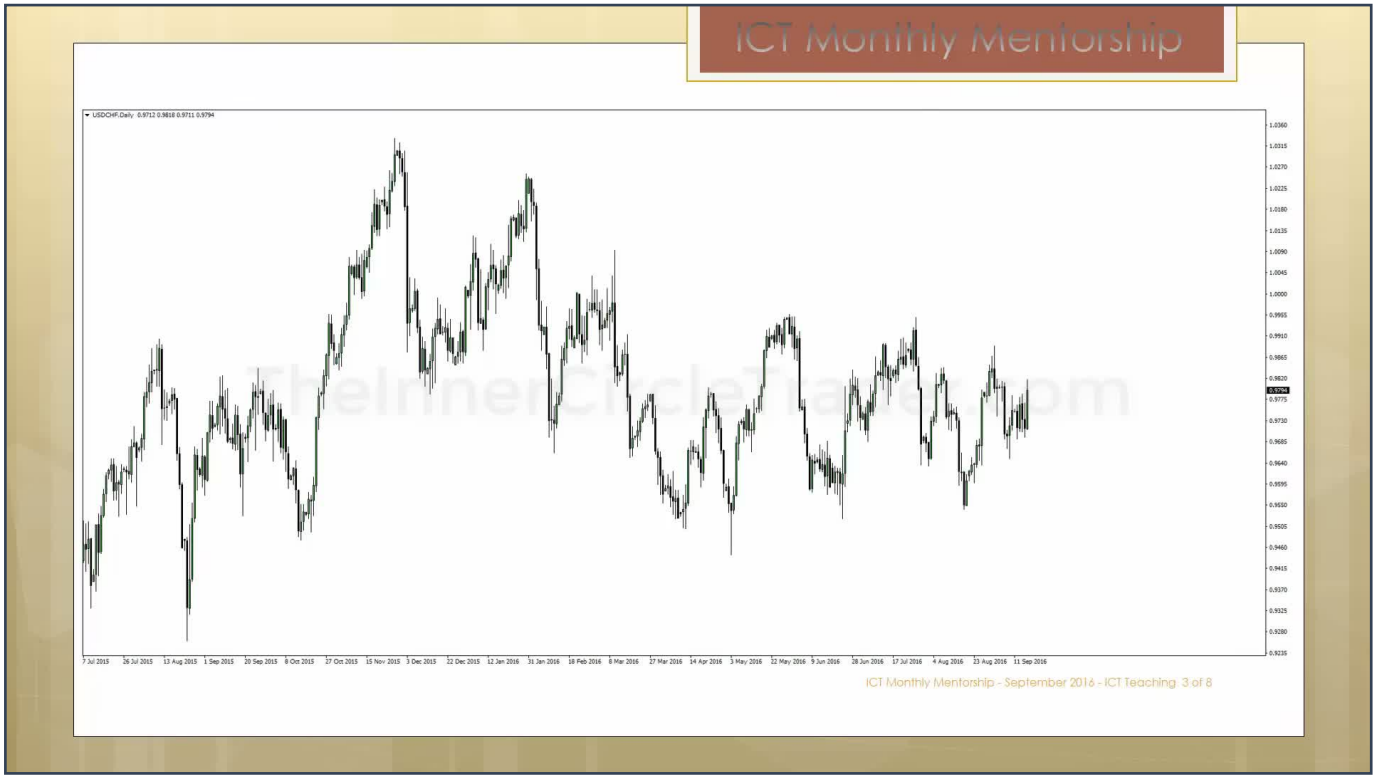
- Clean highs and clean lows: Areas where price has left two approximately equal highs or lows in close proximity. These indicate areas where buy stops (above clean highs) or sell stops (below clean lows) are likely to accumulate, acting as a 'bullseye' for future price movement. The market tends to test this liquidity.

Additional notations required:

- Weekly range highs and lows: Note the days and 'kill zones' (time of day) when the weekly high and low form. This provides insight for future prognostication.

- Daily highs and lows: Note the daily high and daily low for every trading day, and the time of day they form.

For this mentorship, select one currency pair. It is recommended to choose a pair other than the British Pound (GBP) or Euro (EUR) since ICT will be using those specifically. This ensures you develop a unique perspective based on your own analysis, guided by the mentorship.



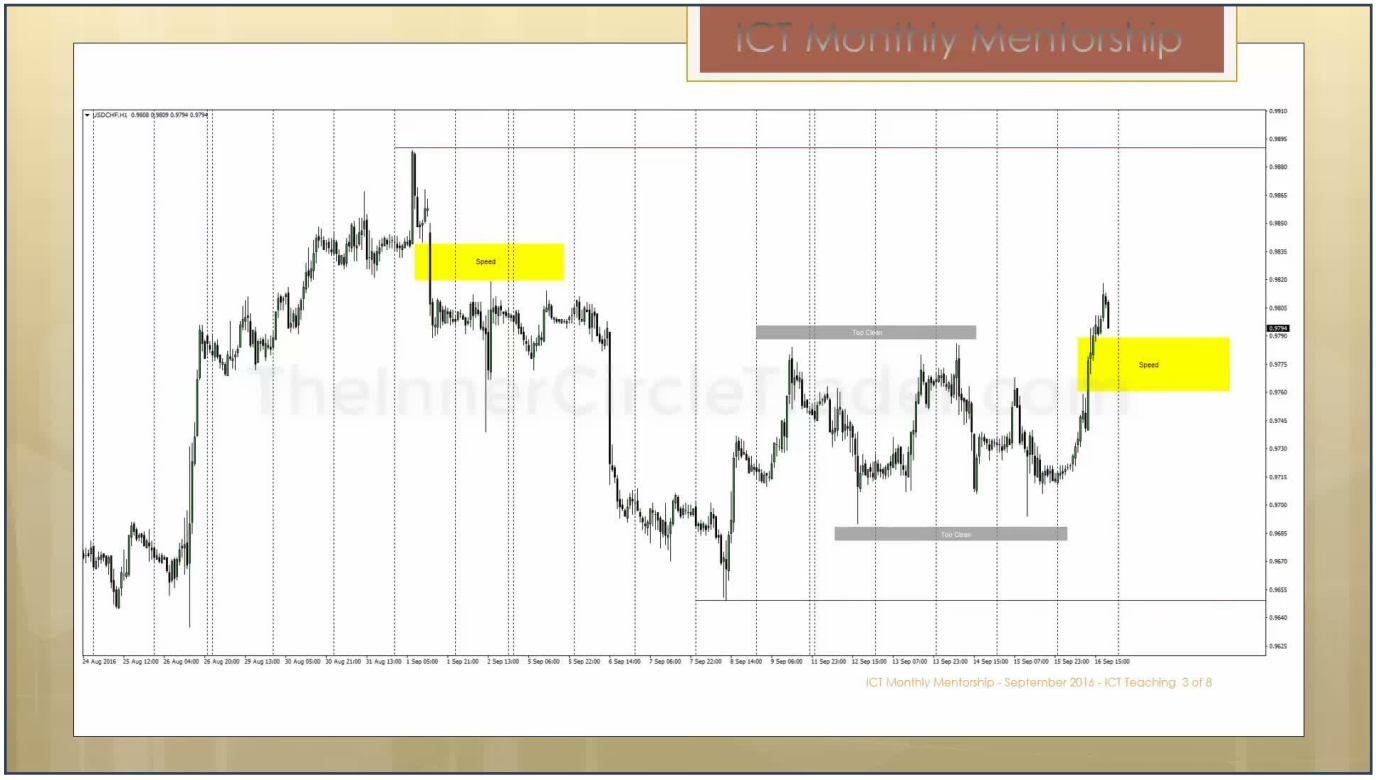

Start with a bare-bones daily chart (e.g., Swiss Franc) and:

- Note the most recent highs and lows where price has repelled. This is the foundational framework for identifying order blocks and liquidity voids.

- Drop down to a four-hour chart, transposing the levels noted on the daily chart. More highs and lows will become visible. Continue to identify clean highs/lows and areas of quick price movement.

- Transition to an hourly chart, again transposing the levels from the daily and four-hour charts. The hourly chart is excellent for defining the weekly range and viewing intraday highs and lows, serving as a barometer for short-term or day traders.

It is crucial to keep these charts in this format separate from other analytical charts. This prevents charts from becoming too cluttered or confusing. You will maintain two independent charts for your chosen currency pair: one for comprehensive analysis and another for specific setups.




Create a second 15-minute chart for your chosen currency pair, loaded bare. The 15-minute chart can appear as 'noise' without proper reference frames.

Apply the same process as with the higher timeframes, but focus on the last three to four days of price action. On this 15-minute chart, specifically note:

- Daily highs and daily lows. ICT demonstrates this by drawing lines for the previous day's high and low, extending them to 0 GMT.

- Days of the week.

This continuous documentation of price action, including logging and journaling charts, is what professionals do. Even after 23 years, this practice remains essential for clarity and perspective. These charts are not for live execution but for constant reference during trading.

Examples of price action observation (e.g., from a Wednesday to Friday scenario):

- Price often runs through previous day's highs or lows without necessarily continuing further, then reverses to target the opposite extreme of the previous day's range.

- Price may retrace into a previous day's range, consolidate, and then target liquidity above or below established highs or lows.

- Weekly highs or lows can be formed by price running out stops and liquidity above or below specific daily highs or lows within the week.

These reference points provide insight for prognostication. The ongoing documentation of price action builds understanding. Every month, more reference points and their specific advantages will be introduced.

During live trading, your execution chart should remain uncluttered, but these documented analysis charts should always be referred to. Maintaining separate charts and avoiding 'marrying' your analysis allows for flexibility. If real-time price action contradicts expectations, you must be able to switch gears or step aside, rather than imposing your will on the market. Success comes from syncing with market probabilities, which are revealed by repeatedly observing these patterns.